

What Escalates, and Who Decides

GOES UP IMMEDIATELY, WITHOUT WAITING FOR A MEETING

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|---|------------------------|
| • Never event, or a death in unexpected circumstances. Chair and Quality chair, then all directors | Same day |
| • Serious clinical incident, or a cluster. Medical Director to the Quality chair | 24 hours |
| • Regulatory inspection, notice, sanction, or licence issue. Chair and Audit chair | 24 hours |
| • Data or information security breach. Chair, Transformation and Audit chairs, data protection lead | 24 hours |
| • Cash below the set days of operating cost. Chair and Finance co-chairs | Immediate |
| • Budget variance beyond the set threshold. Finance co-chairs | Next cycle |
| • Departure or suspension of a senior clinician or executive. Chair and RemCo chair | Same day |
| • Loss of a significant HMO or corporate contract. Chair and Finance co-chairs | 48 hours |
| • Litigation or a claim above the set threshold. Chair and Audit chair | 48 hours |
| • Any risk newly rated 15 or above. Audit chair, then the board | That week |
| • Any proposed change to the Afya agreement. The board, as a reserved matter | Before agreeing |

THE MONEY LADDER, ONCE THE BOARD SETS THE BANDS

- **Band 1** up to N2m per item, inside approved budget. You decide.
- **Band 2** N2m to N10m. The Afya-HSH Governance Committee decides.
- **Band 3** N10m to N50m. The board decides.
- **Band 4** above N50m, or any reserved matter. The board, and the owners where marked.

Escalating is never penalised.

A threshold crossed and escalated is the system working. A threshold crossed and not escalated is the only version of this that is a disciplinary matter. Outside budget or outside policy escalates whatever the amount. When in doubt, escalate.

Reporting to the Board

THE REPORT BY EXCEPTION, THREE PAGES, SIX SECTIONS

- **1 Three things the board should know.** At least one should be uncomfortable.
- **2 Performance against plan.** Narrate only what is off plan, with the four questions answered.
- **3 What went well, briefly.** Two or three.
- **4 What is coming.** Next quarter, and what could knock it off course.
- **5 Where we need the board.** Decisions requested, steers wanted, where you are blocked.
- **6 Declared escalations since the last meeting.** Nil returns are stated as nil.

THE FOUR STANDING QUESTIONS, ANSWERED BEFORE THEY ARE ASKED

- **Why is it different from plan?** The cause, not the category.
- **Is it one-off, or a trend?** Show the prior period and the direction of travel.
- **What is being done, by whom, by when?** A named owner and a date, or it is a hope.
- **What would make it worse?** The honest downside, stated by you first.

THE SEPTEMBER CYCLE, AND EVERY CYCLE AFTER IT

- **Tue 1 Sep** Afya-HSH Governance Committee. Monthly report and KPI pack.
- **Tue 8 to Tue 15 Sep** Committee week. Papers in five working days ahead.
- **Mon 14 Sep** Management report by exception to the Company Secretary.
- **Thu 17 Sep** Board pack circulated. Nothing is added after this date.
- **Thu 24 Sep** Board meeting. The suite is adopted and the thresholds are set.

No paper, no board item.

Nothing reaches the board except through an instrument in the pack. Never take an instruction from a single director: route it through the Chair or the Company Secretary.